THE MASTERMIND COACHING CLASSES

CBSE / RBSE • NURSERY – CLASS XII • JAIPUR

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CLASS 8 — SOCIAL SCIENCE · HARD LEVEL CHAPTER TEST SET 1

Chapter 7: **Factors of Production** | RBSE Pattern | Session 2026–27

Time: 1 Hour 30 Minutes Name: _____ Roll No.: _____ **Maximum Marks: 40**

General Instructions:

1. All questions are compulsory.
2. Q. 1–10 are Objective Type (1 mark each).
3. Q. 11–14 are Very Short Answer Type (2 marks each).
4. Q. 15–18 are Short Answer Type (3 marks each).
5. Q. 19–20 are Long Answer Type (5 marks each).
6. Internal choice is given in Q. 17 to 20.
7. Write the question number before each answer.
8. Hard level: application and higher-order questions.

SECTION — A (Objective Type Questions) 10 × 1 = 10

Choose the correct option and write it in your answer book.

1. A town has many unemployed graduates but companies cannot find skilled workers. The problem is 1

(a) high rent **(b)** surplus land **(c)** gap in skills **(d)** no capital

2. A startup with a great idea but no money first needs 1

(a) capital **(b)** land **(c)** wages **(d)** rent

3. A bank deposit earns 1

(a) profit **(b)** rent **(c)** wage **(d)** interest

4. A potter buys an electric wheel to double output. This shows 1

(a) rent **(b)** wages fall

(c) land rise **(d)** capital substituting labour

5. Why is e-waste dangerous when dumped carelessly? 1

(a) it contains toxic metals such as lead and mercury

(b) it is made only of paper

(c) it adds oxygen to water

(d) it increases the fertility of soil

6. Which statement is true? 1

(a) Factors are never combined

(b) Only land matters

(c) Only money matters

(d) Factors of production are combined in different proportions

7. If wages rise and machines become cheaper, a firm will likely 1

(a) pay no tax **(b)** use more machines

(c) close **(d)** hire more labour

8. A country has 65% population under 35 but poor schooling. The likely result is 1

(a) no workers **(b)** no problem

(c) demographic burden instead of dividend **(d)** automatic growth

9. **Assertion (A):** Wages are the reward for labour. 1

Reason (R): Labour means the physical and mental effort used in production.

Choose the correct option:

(a) Both A and R are true and R is the correct explanation of A.

(b) Both A and R are true but R is not the correct explanation of A.

(c) A is true but R is false.

(d) A is false but R is true.

10. **Assertion (A):** Profit is the reward of entrepreneurship. 1
Reason (R): Interest is the reward for capital.
Choose the correct option:
(a) Both A and R are true and R is the correct explanation of A.
(b) Both A and R are true but R is not the correct explanation of A.
(c) A is true but R is false.
(d) A is false but R is true.

SECTION — B (Very Short Answer Type) 4 × 2 = 8

Answer in about 20–30 words each.

11. A trained worker produces twice as much as an untrained one with the same machine. Name the factor responsible. 2

12. Why might a startup fail despite a good idea? 2

13. Why do skilled workers earn more? 2

14. Why can CSR rules alone not ensure responsible business? 2

SECTION — C (Short Answer Type) 4 × 3 = 12

Answer in about 40–60 words each.

15. Case: A village has fertile land and workers but no funds. Which factor is missing and what can be done? 3

16. Explain how the same land may yield different rent in a town and a village. 3

17. Explain how interest rates affect capital use. 3

OR

Case: A firm replaces 50 workers with machines. Analyse effects on firm, workers and society. 3

18. Compare the roles of entrepreneur and manager. 3

OR

Argue how a tea-stall owner uses all four factors. 3

SECTION — D (Long Answer Type) 2 × 5 = 10

Answer in about 100–150 words each.

19. **Case study.** J. R. D. Tata started Tata Airlines in 1932. He took the risk of starting a new business, brought together land, labour and capital, and faced the chance of loss. He later received the Bharat Ratna in 1992. 5
(i) Which factor of production does J. R. D. Tata represent here?
(ii) What is the reward of this factor?
(iii) In which year did he start Tata Airlines?
(iv) Why can an entrepreneur's reward sometimes be a loss?

20. Analyse how factors of production are interconnected using the manufacture of a mobile phone. 5

OR

Discuss how education, healthcare and culture shape human capital and thus economic growth. 5

END OF QUESTION PAPER Total: 40 Marks